FICTIONAL PROTOTYPE · Fictional organisation · Test-fixture figures, not an approved score · Not a certified paid report

MK FRAUD INSIGHTS

ESSENTIAL FRAUD READINESS REPORT

In 6 fraud schemes the organisation's own answers conflict or rely on a practice reported as weaker, and in 4 a control is reported as a gap.

Calculated figure 87.8 / 100 (Strategic), a test fixture. It is not a readiness conclusion while 6 schemes have answers still to resolve; see page 2.

PREPARED FOR

Fictional Retail Group (overstated confirmations)

Assessment reference · FX-P6b

Assessment date · 12 November 2026

CONFIDENTIAL · PREPARED FOR THE MANAGEMENT OF FICTIONAL RETAIL GROUP (OVERSTATED CONFIRMATIONS)

WHAT DOES THE ASSESSMENT SHOW?

Fraud readiness at a glance

87.8	Strategic	10	92.50	81.00
CALCULATED FIGURE (TEST FIXTURE)	MATURITY BAND	DOMAINS ASSESSED	STRONGEST DOMAIN	WEAKEST DOMAIN
			Finance, banking & financial reporting	Ethics, integrity & anti-corruption

106 fraud schemes apply to the organisation. For 81, every control asked about was reported in place, and for 15 the control that stops the scheme is reported in place while a further defence is weaker. 4 have a control reported as a gap, none of them in tier 1, the schemes the draft method confirms in its core stage. In 6 the answers need resolving: 2 have answers that cannot both be right and 4 rely on a practice reported as weaker. The core stage is complete; all 106 schemes asked about can be analysed in full from the answers given. The calculated figure above is a test fixture from a research simulation. It is not an approved score, and it is not a readiness conclusion while 6 schemes have answers still to resolve.

Domain readiness profile



Ordered weakest first. Calculated figures from a research simulation (test fixtures), not approved scores.

WHY DOES THE POSITION LOOK LIKE THIS?

What the answers show

PATTERN	ASSESSMENT SIGNALS	WHY IT MATTERS
AI-enabled schemes are not considered: answers to resolve	AI-enabled fraud covered **In place** AI methods tested per process **Not in place**	The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it.
An investigation is not independent or fair: answers to resolve	Investigators independent **In place** Who investigates **Partly in place**	The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right.
Ethics, integrity and anti-corruption: 1 scheme with a control reported as a gap	Recipients checked for links **Partly in place**	A payment to a cause linked to a decision-maker buys influence.
People, payroll and insider risk: 1 scheme with a control reported as a gap	Hours approved by supervisor **Partly in place**	Unworked hours or overtime are approved and paid.
15 schemes: control in place, a further defence weaker	Owner has authority across the organisation **Not in place** Management owns the results **Not in place** High-risk activities identified **Partly in place**	Each weaker practice is a separate defence against the same scheme. The control that stops the scheme stands as reported; the practices are listed in the register.

THE PATTERN THAT MATTERS

In 21 schemes a control was reported fully in place and a practice of the same scheme weaker, and the two answers were compared using the method's wording. In 2 they cannot both be right and in 4 the reported control relies on the weaker practice; in the other 15 the practice is a separate defence and the reported control stands as given. Separately, 10 of 67 controls that can be cross-checked were asked one further question: 0 consistent, 1 conflicting and 9 with a separate practice reported weaker. These compare the organisation's own answers; they are not tests of operation and change no figure.

WHERE DOES FRAUD EXPOSURE MATTER MOST?

Fraud schemes the answers point to

#	FRAUD SCHEME	ASSESSMENT BASIS	POTENTIAL CONSEQUENCE	INTERRUPTION POINT	WHY IT IS LISTED
1	**AI-enabled schemes are not considered** Deepfake instructions, synthetic identities and generated documents are missing from management's view of fraud risk.	AI-enabled fraud covered **In place** AI methods tested per process **Not in place**	These schemes defeat controls that rely on recognising a person or a document.	AI methods tested per process: in place across everything it should cover.	**To resolve** Answers to resolve before the scheme is treated as covered.
2	**An investigation is not independent or fair** The investigator is too close to the matter, or conclusions ignore other explanations.	Investigators independent **In place** Who investigates **Partly in place**	The method links it to investigations that cannot stand up in a hearing or in court and reports that are lost, ignored or handled by people who are implicated.	Who investigates: the organisation's own forensic or investigation team or an external forensic firm, brought in when needed.	**To resolve** Answers to resolve before the scheme is treated as covered.
3	**Donations or sponsorships channel bribes** A payment to a cause linked to a decision-maker buys influence.	Recipients checked for links **Partly in place**	The method links it to donations and sponsorships used as disguised bribes and undeclared conflicts of interest steering decisions.	Recipients checked for links: in place across everything it should cover.	**Gap, tier 2** Its control is reported as partly in place.
4	**Hours and overtime are inflated** Unworked hours or overtime are approved and paid.	Hours approved by supervisor **Partly in place**	The method links it to timesheet, overtime and leave abuse.	Hours approved by supervisor: in place across everything it should cover.	**Gap, tier 2** Its control is reported as partly in place.
5	**Procurement anomalies are never noticed** Patterns such as splitting or duplicates go unseen.	Senior review of supplier payments **Partly in place**	Patterns such as splitting or duplicates go unseen.	Senior review of supplier payments: in place across everything it should cover.	**Gap, tier 3** Its control is reported as partly in place.

Listed with answers to resolve first, then one scheme with a control reported as a gap from each area, areas with the most such schemes first. This is a presentation order: MK has not approved a method for rating fraud risks, and every scheme is in the register.

HOW COULD THAT EXPOSURE MATERIALISE?

How the schemes would work here

AI-enabled schemes are not considered

AI-enabled schemes are not considered › AI-enabled fraud covered in place; AI methods tested per process not in place › AI-enabled fraud not anticipated

Deepfake instructions, synthetic identities and generated documents are missing from management's view of fraud risk. These schemes defeat controls that rely on recognising a person or a document. Here, the answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it.

Interrupted by: Establishing which answer is right. Until then, the scheme is treated as not covered.

Warning signs: AI-enabled fraud not anticipated

An investigation is not independent or fair

The investigator is too close to the matter, or conclusions ignore other explanations › Investigators independent in place; who investigates partly in place › Investigations that cannot stand up in a hearing or in court

The investigator is too close to the matter, or conclusions ignore other explanations. Here, the answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right.

Interrupted by: Establishing which answer is right. Until then, the scheme is treated as not covered.

Warning signs: Investigations that cannot stand up in a hearing or in court · Reports that are lost, ignored or handled by people who are implicated

Donations or sponsorships channel bribes

A payment to a cause linked to a decision-maker buys influence › Recipients checked for links partly in place › Donations and sponsorships used as disguised bribes

A payment to a cause linked to a decision-maker buys influence. Here, recipients checked for links: partly in place.

Interrupted by: A check of new cases by hand against the method's standard, until the control operates. Recipients checked for links: in place across everything it should cover.

Warning signs: Donations and sponsorships used as disguised bribes · Undeclared conflicts of interest steering decisions

These are plausible schemes for an organisation with the controls it reported. They are not allegations that these events have occurred.

WHAT DOES MANAGEMENT NEED TO CHANGE?

What management should address first

#	MANAGEMENT OUTCOME	WHY NOW	ACCOUNTABLE	WHAT GOOD LOOKS LIKE
1	**Resolve the answers for 6 schemes**	2 schemes have answers that cannot both be right, and 4 schemes rely on a practice reported as weaker. Until resolved, none of them is treated as covered.	Fraud risk lead, investigations lead and finance lead	The answers for each scheme agree with each other and with how the process runs, so the reported control can be relied on.
2	**Name an owner for each area and decide the order of work**	The draft method does not rank fraud risks by likelihood or impact, so this report does not either. Which of the 4 open schemes to address first is management's decision, informed by its own volumes and values.	Chief executive	Each area with open schemes has one accountable executive, and the order of work is recorded with the reason for each choice.
3	**Put in place: recipients checked for links**	Stops the scheme where donations or sponsorships channel bribes. Its control is reported as partly in place.	Ethics lead	Recipients checked for links: in place across everything it should cover.
4	**Put in place: hours approved by supervisor**	Stops the scheme where hours and overtime are inflated. Its control is reported as partly in place.	HR and payroll lead	Hours approved by supervisor: in place across everything it should cover.
5	**Put in place: senior review of supplier payments**	Stops the scheme where procurement anomalies are never noticed. Its control is reported as partly in place.	Finance lead	Senior review of supplier payments: in place across everything it should cover.

WHAT SHOULD HAPPEN IN THE FIRST 90 DAYS?

The first 90 days

The windows order the work by what must be known and decided before controls are designed. They set no deadline from a scheme's tier or the answers given; dates are management's decision.

30 days: Establish the facts and owners

0–30 DAYS

Answers that conflict are resolved, outstanding answers are obtained and each area with open schemes has an accountable executive.

Resolve the answers for 6 schemes, starting with the 2 whose answers cannot both be right. A corrected answer for each scheme, or a recorded decision to put the missing practice in place. **Complete when:** The answers for each scheme agree with how the process runs.	Fraud risk lead and investigations lead
Name the accountable executive for each area with open schemes, and decide which schemes to address this cycle. Named executives and a recorded order of work. **Complete when:** Every open scheme is selected, deferred with a reason or accepted at the right level.	Chief executive

60 days: Design the controls, prerequisites first

31–60 DAYS

Approved designs exist for the schemes management selected, with the controls others rely on designed first.

Design first the controls others rely on: receipt recorded before payment and services confirmed. An approved design for each, with the records it will keep. **Complete when:** The controls that rely on them can be designed against something that exists.	Operations lead
Approve the target design for each selected scheme, using the standards in this report. Approved designs, each with an owner and the records it will keep. **Complete when:** Each selected control has an approved design and a named owner.	Each accountable executive

90 days: Start operating and report

61–90 DAYS

The first designed controls operate for a full cycle and the oversight body sees the status of every scheme.

Start operating the approved designs and review the first full cycle against the success measures. A first-cycle review for each control, with exceptions and their resolution. **Complete when:** Each control has met its success measure for one cycle, or has a recorded correction.	Each process owner
Report the status of each open and unresolved scheme to the board or its audit committee. A one-page status per scheme: owner, controls in place, controls outstanding, next step. **Complete when:** The status is received and minuted.	Chief executive

HOW WILL MANAGEMENT KNOW WHETHER READINESS IS IMPROVING?

What to check at the 90-day point

MEASURE	POSITION TODAY	90-DAY EXPECTATION
Schemes with answers to resolve	6.	None: each resolved, with the corrected answer recorded.
Recipients checked for links	Recipients checked for links: partly in place.	Records for the period show this practice applied to every case in scope: recipients checked for links.
Hours approved by supervisor	Hours approved by supervisor: partly in place.	Records for the period show this practice applied to every case in scope: hours approved by supervisor.
Senior review of supplier payments	Senior review of supplier payments: partly in place.	Records for the period show this practice applied to every case in scope: senior review of supplier payments.
Open schemes with a named owner and a decision	None recorded in the assessment (4 open).	Each selected, deferred with a reason or accepted at the right level.

Management conclusion

Fictional Retail Group (overstated confirmations)'s answers show 96 schemes with the controls that stop them reported in place and 4 with a control reported as a gap, spread across 4 areas. Before relying on the reported position, management should resolve the 6 schemes whose answers conflict or rely on a weaker practice; until then the calculated figure is not a readiness conclusion. The draft method does not yet rank fraud risks, so the order of the remaining work is management's decision; the supporting register lists every scheme, control and record behind this report.

This report is based on the organisation's own answers to the MK Fraud Readiness review, given by the respondent and the accountable functions named in it, and read against the draft review method, which MK has not yet approved. MK has not independently tested whether controls operate in practice, and no evidence was reviewed; evidence review is a separate Advisory service. The records named in this report are records management should maintain; MK has not requested or examined them. TEST FIXTURE: hypothetical research value (scoring-frame simulation, Option A, midpoint, equal areas, no caps). Not an approved score, band or rating.